WSP Global Inc.

Right (and accretive) deal for the (current) moment

WSP (TSX) C$245.15	STOCK RATING	TARGET	EST. TOTAL RETURN
	Outperform (Was Restricted)	**C$304.00** (Was Restricted)	**24.6%**

Acquiring TRC for US$3.3 bln

Transaction overview - a POWERful follow-up

Last Monday after market close, WSP announced that it had entered an agreement to acquire TRC Companies (TRC) - a Windsor, Connecticut-based engineering consultant for US$3.3 bln (~ $4.5 bln). TRC was founded in 1969 and has grown to an 8,000-employee firm serving clients from over 150 offices primarily in the U.S., where the company derives 97% of net revenues. The company serves a wide variety of clients in the utilities, energy, water, environment and infrastructure end markets. ENR ranks TRC #5 in the power space (WSP USA was #2 behind Burns & McDonnell), and the combined pro forma entity will become #1 once the deal closes (expected in Q1/26E). With this transaction, WSP also becomes the #1 engineering and design firm in the U.S. by revenue (overtaking AECOM and Jacobs as per ENR), having grown its U.S. platform to $7.2 bln in net revenues and 27,000 employees on a pro forma basis. Since TRC is majority owned by PE firm Warburg Pincus, a shareholder vote is not necessary for approval.

Valuation & recommendation — litmus test for M&A has been passed; Power is where the growth is

H2/25 has been painful for the consulting cohort on fears of AI potentially impacting the time & materials procurement cycle; speaking with market participants and corporates, we believe digital tools are seen as productivity enablers in the short term while the long-term impact is still being assessed. The market's reaction to the deal is also quite telling as fears of transformational M&A is not ultimately what the board / management decided to pursue; we believe the TRC transaction is a great deal for the current backdrop and sentiment. Increasing exposure to the Power space builds on strong and positive reception to the POWER Engineers deal, it's accretive, digestible in terms of size / complexity (yet more than moves the needle by adding ~ +10% to run-rate EBITDA), and offers cross-selling opportunities around transport and water. At a now much more palatable 13.1x 2027E pro forma EV/EBITDA, we are buyers of WSP shares. We are updating our estimates to include the pro-forma contribution of TRC, and raise our target price to $304.00 (from $301.00).

STOCK DATA

52-Week High and Low ($)	291.46-217.42
Dividend per Share ($)	1.50
Dividend Yield (%)	0.6
Shares Outstanding (Mln)	134.7
Shares Outstanding - FD (Mln)	135.1
Market Capitalization ($Mln)	33,026.8
Net Debt ($Mln)	6,988.6
Enterprise Value ($Mln)	40,100.3

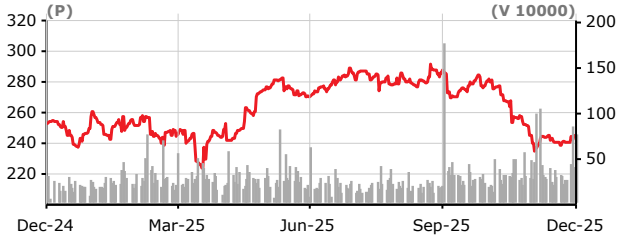
NBCCM ESTIMATES & VALUATION

Fiscal Y/E December	2024A	2025E	2026E	2027E
Revenue ($Mln)	12,172.2	13,918.2	15,978.5	17,325.8
EBITDA ($Mln)	2,185.7	2,553.3	3,017.8	3,397.9
EBITDA (ex.IFRS)	1,829	2,169	2,559	3,068
EPS - Diluted ($)	8.02	9.61	10.94	12.65
EV/EBITDA (x)	21.9	18.5	15.7	13.1
P/E (x)	30.6	25.5	22.4	19.4

All figures in C$ unless otherwise noted

Source: NBCM, Company reports and LSEG

STOCK PERFORMANCE *(Source: FactSet)*



COMPANY PROFILE

WSP Global is a pure engineer with a $16 bln top line and diversified global exposure. M&A is an integral part of the company's strategy.

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For required disclosures, please refer to the end of the document.

Bottom line – litmus test for M&A has been passed; Power is where the growth is

H2/25 has been painful for the consulting cohort on fears of AI potentially impacting the time & materials procurement cycle; speaking with market participants and corporates, we believe digital tools are seen as productivity enablers in the short term while the long-term impact is realistically still being assessed. Recall, however, that vs. business / IT consulting, engineers need to conform to professional liability standards and there is no obvious (emerging) mega competitor a la Palantir in the space. The market's reaction to the TRC deal is also quite telling as fears of transformational M&A (i.e., J as discussed in Bloomberg article speculation - WSP / Jacobs Deal? Preliminary Thoughts on Structure / Fit) is not ultimately what the board / management decided to pursue; we believe the TRC transaction is a great deal for the current backdrop and sentiment. Increasing exposure to the Power space (19% of total revenues vs. 13% prior – and faster-growing at ~ +10% CAGR) builds on strong and positive reception to the POWER Engineers deal, it's accretive (+5% to +8% on EPS, depending on methodology employed, with synergies), digestible in terms of size / complexity (yet more than moves the needle by adding ~ +10% to run-rate EBITDA), and offers cross-selling opportunities around transport and water (not being modelled). At a now much more palatable 13.1x 2027E pro forma EV/EBITDA (note that Quanta Services, a construction company with power / utilities exposure is now trading at 22x EV/EBITDA), we are buyers of WSP shares. We reiterate our Outperform rating on WSP shares and adjust our target price up to $304.00 (from $301.00) as we incorporate the contribution of TRC on a pro forma basis; our target price is derived using a 17.0x EV/EBITDA multiple on blended 2026E / 2027E forecasts with a 25% probability of large-scale M&A.

Figure 1: WSP - NAV

EV/EBITDA Multiple (ex. IFRS 16)									Target
($000's, except per-share data)		2021A	2022A	2023A	2024A	2025E	2026E	2027E	2026E / 2027E
Adjusted EBITDA	**17.0x**	**$1,044,000**	**$1,195,200**	**$1,564,000**	**$1,828,600**	**$2,168,535**	**$2,558,766**	**$3,067,906**	**$45,662,862**
Minus: Net Debt / (Cash) at Period-End									$5,364,747
Equity Value									**$40,298,115**
Shares Outstanding									135,061
Net Asset Value (75% Probability)									**$298.37**
WSP Pro-Forma Large-Scale M&A Valuation (25% Probability)									**$320.75**
M&A Probability-Weighted Net Asset Value									**$303.96**
Current Share Price									$245.16
Potential Appreciation to NAV - All-Inclusive (Includes Dividend Yield)									**24.6%**

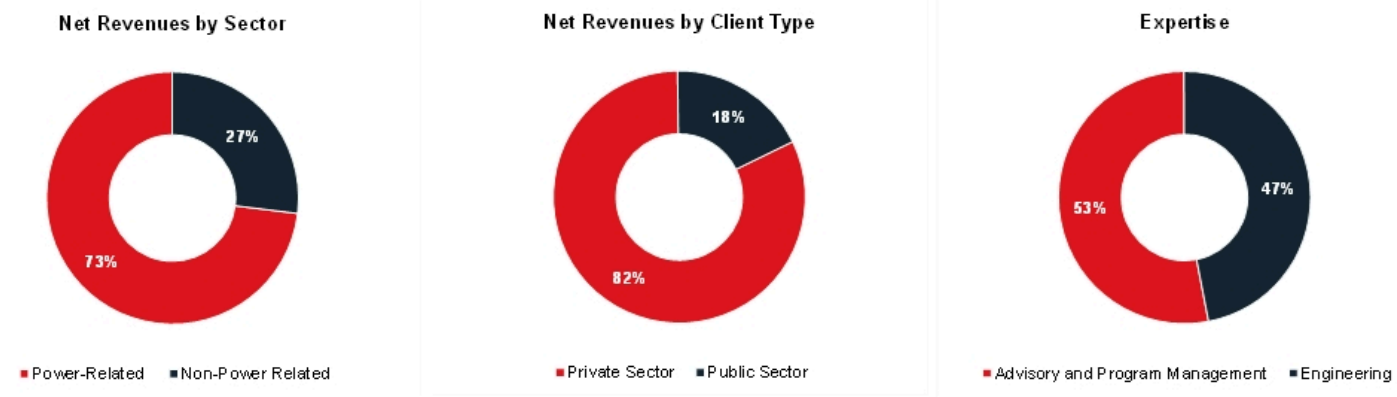
*We apply the multiple to 75% 2026E and 25% 2027E estimates and assume 7.5% accretion for M&A valuation

Source: NBCM, Company reports, LSEG

Transaction overview – a POWERful follow-up

Last Monday after market close, WSP announced that it had entered an agreement to acquire TRC Companies (TRC) – a Windsor, Connecticut-based engineering consultant for US$3.3 bln (~ $4.5 bln). TRC was founded in 1969 and has grown to an 8,000-employee firm serving clients from over 150 offices primarily in the U.S. where the company derives 97% of net revenues *(see revenue breakdown in Figure 2)*. The company serves a wide variety of clients in the utilities, energy, water, environment and infrastructure end markets (WSP management notes that 73% of revenues are power-adjacent, while ENR estimates 57% exposure to power, 21% to hazardous waste and 12% to transportation for 2024). ENR ranks TRC #5 in the power space (WSP USA was #2 behind Burns & McDonnell), and the combined pro forma entity will become #1 once the deal closes (expected in Q1/26E). With this transaction, WSP also becomes the #1 engineering and design firm in the U.S. by revenue (overtaking AECOM and Jacobs as per ENR), having grown its U.S. platform to $7.2 bln in net revenues and 27,000 employees on a pro forma basis *(see Figure 4)*. Since TRC is majority owned by PE firm Warburg Pincus, a shareholder vote is not necessary for approval.

Figure 2: TRC's F2025 revenue (US$1,192 mln on a NR basis) breakdown



Source: NBCM, Company reports

In our view, the transaction is a material positive from both a financial and strategic point of view, representing a significant step towards achieving WSP's 2025 to 2027 cycle targets *(see Strategic 2027E targets and long-term objectives are ambitious; market will like them and Ambitious but achievable 2027E targets)*. From a strategy standpoint, the transaction extends WSP's global leadership position in the industry, with the company now a clear global leader across each of its four core verticals. Geographically, half of net revenues will now come from the U.S. and the end-market split is expected to be more evenly balanced (Figure 5) with Power & Energy exposure moving up to 19% (from 13%). Furthermore, with more than half of TRC's revenue coming from Advisory and Program Management (vs. 5% for legacy WSP; note that STN and TTEK have also explicitly stated their goal to grow the share of early-stage advisory work), the acquisition incrementally improves WSP's competitive moat *(more on that below)*. With TRC serving the 20 largest investor-owned utilities in the U.S. across the full lifecycle of their assets, management also sees cross-selling opportunities in power engineering, environmental solutions and advisory services, further crystallizing the strategically attractive nature of the business amid sustained strength in utilities' CapEx cycle; management expects sustained, double-digit organic growth in the P&E vertical. Finally, the integration of TRC will also supplement WSP's capabilities in the water, infrastructure and environmental verticals, improving the overall company's value proposition of being a "one-stop-shop" for clients and supporting a sustained increase in its "share of wallet" with clients.

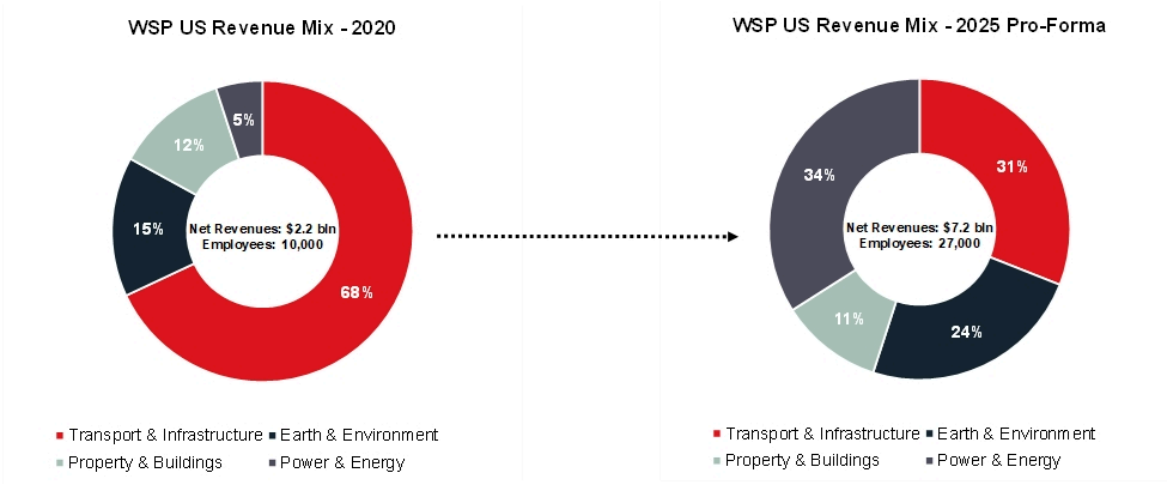
Figure 3: ENR market share – top 20 control 72% of the Power end market (grew +14% organically in 2025 to US$11.6 bln)

2025 Rank	2024 Rank	Company Name	Standalone Asset (Y/N)	Note
1		**WSP+TRC**	**Y**	**Combined entity #1 in ENR rankings (19% of revenue from Power)**
1	1	Burns & McDonnell	N	Construction exposure; 48% of revenues derived from Power
2	**9**	**WSP USA**	**Y**	**Jumped from #9 to #2 in 2025 after acquiring Power which was the #6 player in 2024**
3	4	Sargent & Lundy	Y	93% of revenues derived from Power (same as Power Engineers)
4	3	Black & Veatch	N	Construction exposure; 53% of revenues derived from Power
5	**5**	**TRC Companies**	**Y**	**57% of revenues derived from Power (73% according to WSP preso)**
6	7	Kiewit	N	Construction exposure; 43% of revenues derived from Power
7	2	Jacobs Solutions	N	Large, publicly-traded competitor to WSP
8	8	ENTRUST Solutions	Y	84% of revenues derived from Power
9	16	AECOM	N	Large, growing fast organically in Power, <10% of revenue from Power
10	10	Tetra Tech	N	Large, publicly-traded competitor to WSP
Combined Revenues of Top 20 Companies:				**US$11.6 bln**
Combined Market Share of Top 20 Companies:				**71.8%**

Source: NBCM, ENR, Company reports

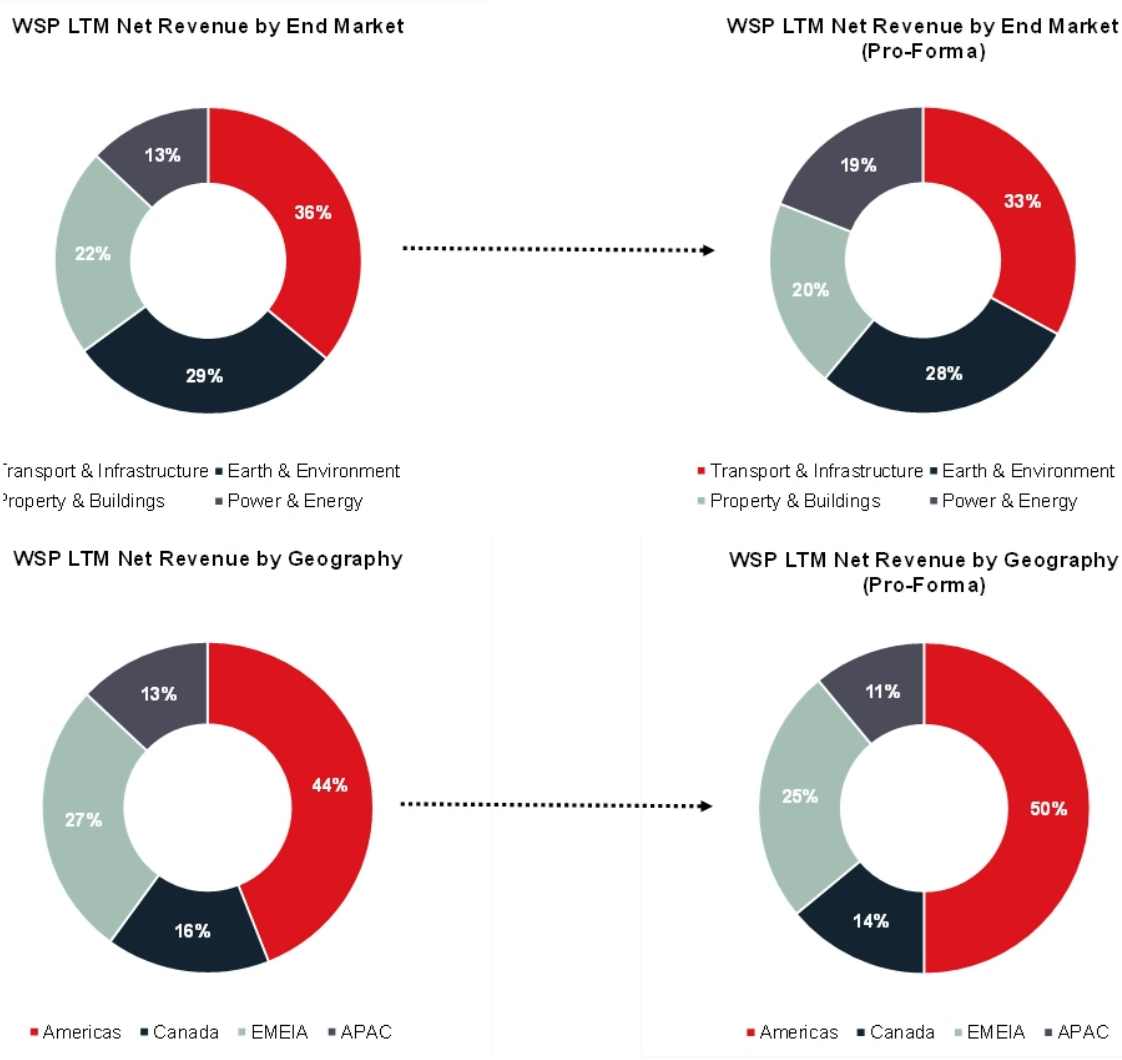
** WSP + TRC #1 ranking based on excluding construction revenue from top 10*

Figure 4: On a pro forma basis, WSP will become the largest engineering and design firm in the U.S. by revenue



Source: NBCM, Company reports

Figure 5: Power & Energy will now comprise almost 1/5th of WSP's net revenues; close to two-thirds of the top line will now come from North America



Source: NBCM, Company reports

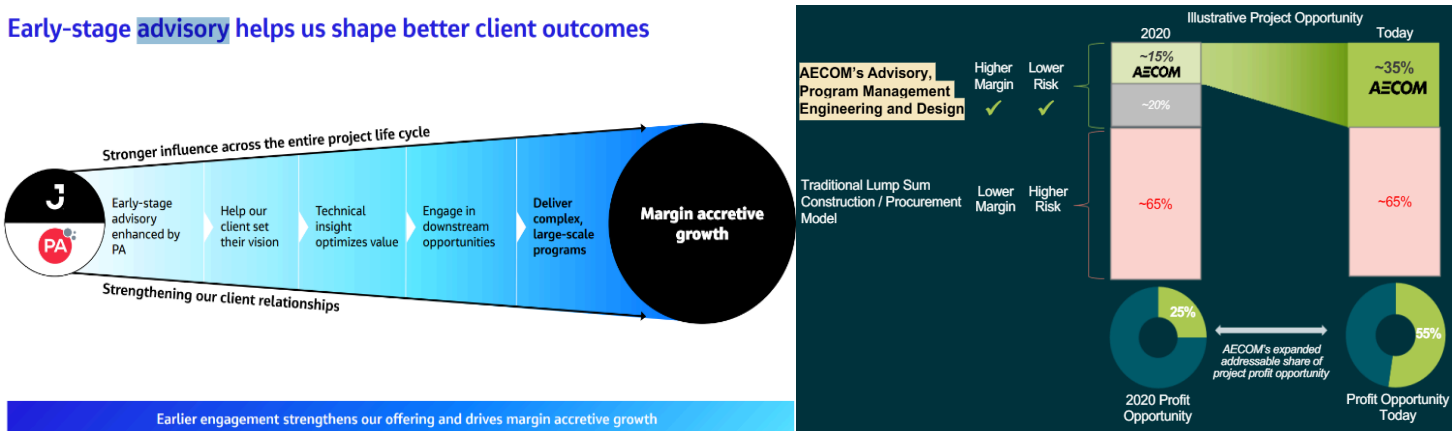
Financing arrangements represent a rational use of capital while retaining optionality. In connection with the acquisition, WSP has secured US$3,300 mln (~ $4,541 mln) in committed financing through senior unsecured non-revolving term loans. The incremental leverage will be offset by a $978 mln (assuming the exercise of the 15% over-allotment option) equity offering, split between a $136 mln private placement with CDPQ and an $842 mln bought deal. Following closing, leverage is expected to increase from 1.4x as at Q3/25 to 2.4x on a pro forma basis before returning to below 2.0x within 12 months. We believe this structure strikes an attractive balance between managing equity dilution and maintaining optionality for further growth should attractive opportunities (organic or more M&A) arise.

Financial considerations are likewise attractive. TRC generated gross and net revenues of US$1,499 mln and US$1,192 mln, respectively, in its latest fiscal year (ending June 30, 2025), the result of +10% 10-year organic revenue growth that has accelerated to +12% in the last four years (backlog at +10% CAGR). Adjusted EBITDA for F2025 stood at US$192.3 mln / US$207.2 mln on a pre- / post-IFRS basis, representing a margin of 16.1% and 17.4%, respectively. On a pre-synergies basis, the transaction represents a 14.5x EV / EBITDA multiple on calendar 2026E pre-IFRS adjusted EBITDA (an implied US$228 mln – representing +18% growth vs. F2025, and a material ~ +11% boost to our pre-announcement estimate of $2,770 mln). Cost synergies of at least 3% of TRC's net revenue (US$36 mln) are expected to be realized by 2027E, lowering the post-synergies multiple to an attractive 12.5x (see Figure 9 for our accretion/dilution estimates) with implied EBITDA margins of over 20%.

Expanding Advisory business – a stickier segment with higher wallet share with clients

Engineering and consulting peers have long emphasized their ambition to grow the Advisory and Program Management portions of their businesses. Following the acquisition of TRC, WSP's pro forma revenue mix is now 9% Advisory and 91% traditional Engineering/ Consulting Design, compared with 5% Advisory prior to the transaction. Among U.S. peers, AECOM derives 3% of revenues from Advisory (or 17% including Program Management), while Jacobs generates an estimated ~10% through its PA Consulting operations. These firms ultimately aim for 50% of their business to come from Advisory + Program Management and are aggressively expanding these segments (Figure 6). The rationale is straightforward; these services provide higher-margin growth, deepen client relationships by being exposed to clients' CapEx cycles earlier (improving cross-selling as a result), improve revenue stickiness, and create strategic positioning to capture greater wallet share in an increasingly complex infrastructure and sustainability environment.

Figure 6: All design firms are aggressively expanding their higher-margin, early-stage advisory offerings, aiming to increase wallet share from 15% to 35%



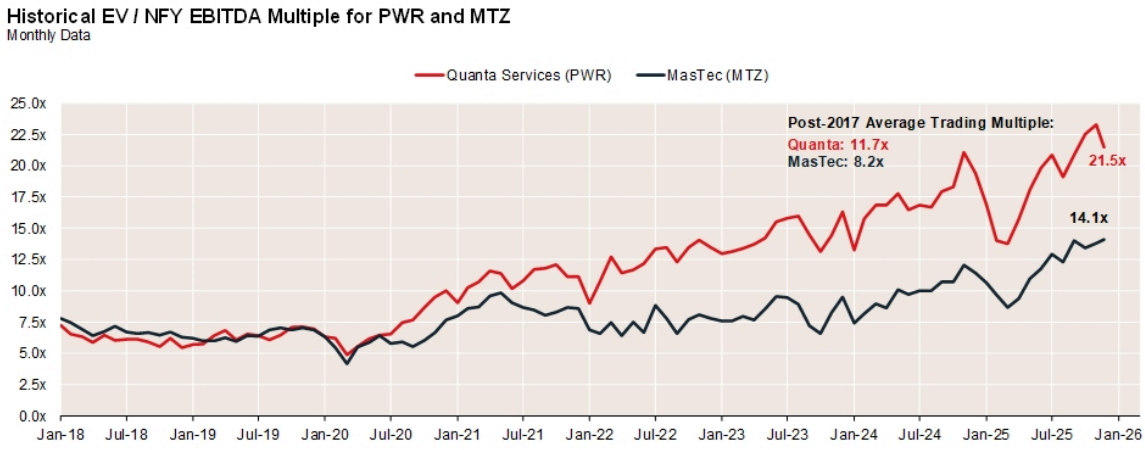
Source: NBCM, Company reports

Advisory work enables firms to move upstream in the project lifecycle - engaging at the earliest stages to shape vision, strategy and funding decisions - well before any Concept or Design work begins. Design firms view Advisory expansion as a way to strengthen C-suite relationships, secure downstream execution opportunities, and build a competitive advantage over management consultants such as Bain, BCG and Accenture, which lack deep infrastructure expertise. Ultimately, Advisory is not just a margin strategy; it is a deliberate move to become an indispensable partner to clients across the full lifecycle of their capital programs.

Quanta and MasTec valuations once again a positive readthrough for the sector but, even more so, for WSP's M&A execution

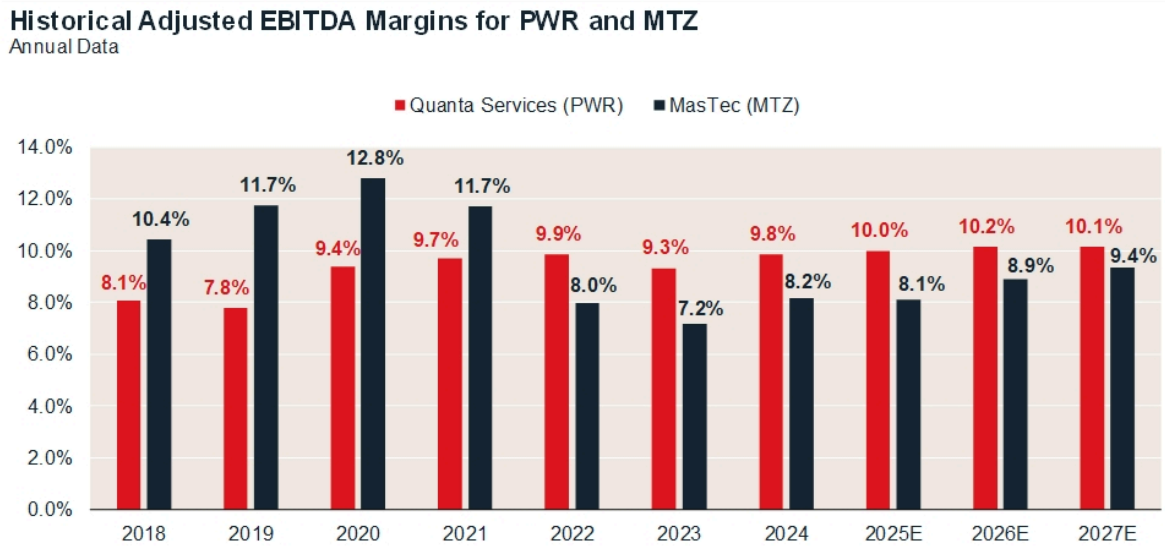
In our discussion of the POWER Engineers acquisition last August (Off restriction post Power Engineers deal), we highlighted Quanta Services' (NYSE: PWR; Not Rated) valuation which, on an EV / NFY EBITDA basis had more than doubled to 16x in under four years. Since then, rising expectations around electricity demand growth and the necessary expansion and modernization of the North American grid (now fuelled largely by the data centre buildout and accelerating development / adoption of AI) have pushed PWR's trading multiple to 22x (Figure 7) – which is a ~ +50% premium to TRC's pre-synergies transaction multiple. Given that Quanta's margins are only about 2/3 that of TRC (16.1% on a pre-IFRS basis in F2025, and close to 20% once cost synergies are fully realized in 2027E) with minimal expected expansion, WSP's TRC acquisition – much like POWER – stands out as an exceptional value (a dynamic acknowledged by the market as shares ended the subsequent trading day +5% above the $232.80 public offering price). Furthermore, even a construction-oriented firm like MasTec (NYSE: MTZ; Not Rated) with less direct power / utility exposure is trading at 14x NFY EBITDA, in line with TRC despite the higher structural levels of execution risk (vs. a pure-play consulting company) and half the margins (expected organic revenue growth rates are broadly similar for TRC, PWR and MTZ).

Figure 7: Valuations for PWR and MTZ are now more than 2x higher than historical, pre-pandemic averages



Source: NBCM, Company reports, LSEG

Figure 8: Quanta and MasTec generate strong margins for the construction space, but expansion prospects are limited vs. pure-play E&C



Source: NBCM, Company reports, LSEG

Accretion / dilution – mid-single to high-single-digit EPS accretion by 2027E

The net revenue contribution expected from TRC is approximately $1.8 bln in 2026E, assuming a +12% organic growth rate consistent with its four-year CAGR applied to F2025 revenues. We also assume +65 bps of margin expansion for TRC driven by operating leverage, which adds roughly $312 mln to 2026E WSP EBITDA (ex-IFRS) on a pro forma, pre-synergy basis (reflecting a ~ 16.8% ex-leases margin, up from 16.1% in F2025). After incorporating 3% of net revenue cost synergies (half of which we expect to be realized in 2026E in our forecasts, and fully in 2027E) along with interest expense and depreciation aligned with WSP's cost of debt (yield-to-maturity) and its historical depreciation-to-net-revenue ratio, we estimate EPS accretion of +2% to +5% on 2026E standalone WSP figures. Accretion increases meaningfully in 2027E, potentially reaching mid-to-high single digits, reflecting TRC's double-digit organic growth, strong margins and any incremental revenue synergies. We also note that accretion is sensitive to the assumed 2026E standalone WSP EPS baseline and would be higher under more conservative EPS anchoring. Our framework assumes $978 mln of equity issuance (including a 15% over-allotment).

Figure 9: Accretion/dilution analysis for proforma 2026E EPS assuming 100% (or 0%) synergies achieved in 2026

Potential M&A transaction financials + assumptions (in C$000s unless noted)			
WSP end of Q3/25		**Outright takeover assumptions**	
Cash	413,700	Tax rate	25.5%
Debt	3,855,300	Synergies (in 2026 - 3% of revenue)	3%
WSP Net debt (end of Q3/25)	**3,441,600**	Debt being funded	3,563,781
2025E EBITDA (ex-leases)	2,168,535	Equity being issued	977,679
2026E EBITDA (ex-leases)	2,359,846	Target Net Revenue 2026E ($1,641 mln in 2025)	1,862,960
WSP 2026E EV/EBITDA (ex-leases)	15.1x	Target D&A (no leases) as a % of Revenue	3%
Target : TRC		Implied EBITDA Growth 2026E	16%
Target EV (US$3,300 mln)	4,541	Net debt to EBITDA (post-leases) - Q3/25	1.38x
Transaction multiple	14.5x	Pro-forma net debt to EBITDA (ex. synergies)[3]	2.41x
Target EBITDA 2026E (ex-leases pre IFRS 16)[1]	312,343	Pro-forma net debt to EBITDA (w/ synergies)	2.14x
Implied Margin 2026E (ex-leases pre - IFRS 16)[2]	16.8%		
		Exchange Rate USD to CAD	1.3762
Pro forma (2026E - full year)			
WSP Standalone 2026E EBITDA	2,359,846	WSP stand-alone 2026A shares outstanding	130,906
Target EBITDA (post IFRS-16) 2026E	333,131	WSP share price	$241.65
Pro-forma EBITDA 2026E	2,692,977	Share issuance discount + fees	3.7%
Pro-forma EBITDA w synergies	2,745,140	Interest on debt (2034 notes YTM)	4.6%

Takeover- EPS accretion analysis (with 0% synergies)		Takeover- EPS accretion analysis (100% synergies)	
Acquired EBITDA (ex-leases) 2026E	312,343	Acquired EBITDA (ex-leases) 2026E	312,343
Synergies	0	Synergies	52,163
Additional interest expense	165,359	Additional interest expense	165,359
Target depreciation and amortization	46,574	Target depreciation and amortization	46,574
Acquired EBT	**100,409**	**Acquired EBT**	**152,572**
Taxes	25,604	Taxes	38,906
Acquired net income	**74,805**	**Acquired net income**	**113,666**
Shares issued (including overallotment)	4,200	Shares issued (including overallotment)	4,200
New shares outstanding	135,105	New shares outstanding	135,105
WSP 2026E adjusted standalone EPS (NBCM)	$10.71	WSP 2026E adjusted standalone EPS (NBCM)	$10.71
WSP 2026E adjusted net income (legacy)	1,401,992	WSP 2026E adjusted net income (legacy)	1,401,992
Acquired net income	74,805	Acquired net income	113,666
Pro-forma net income	**1,476,797**	**Pro-forma net income**	**1,515,658**
Pro-forma EPS	**$10.93**	**Pro-forma EPS**	**$11.22**
EPS accretion (absolute)	**$0.22**	**EPS accretion (absolute)**	**$0.51**
EPS accretion (percent)	**2%**	**EPS accretion (percent)**	**5%**
Transaction multiple (with no synergies)	**14.5x**	**Transaction multiple (100% synergies)**	**12.5x**

Source: NBCM, Company reports, LSEG

1.Based on disclosure by WSP on 2026E 14.5x EV/EBITDA (ex-leases) multiple paid without synergies, 2025 EBITDA ex-leases was C$268.5 mln
2. Implies +65bps margin expansion and net revenue +12% organic growth in 2026E. Margin was 16.1% in 2025 on pre-IFRS 16 CAD basis.
3. on a post IFRS 16 EBITDA basis for leverage = how WSP reports.

Figure 10: Precedent Transactions in the E&C Space

Date	Target	Buyer	EV (mln)	EV/EBITDA pre-synergies and pre-IFRS 16)	Synergies mln in deal currency)	Synergies % of Acquired EBITDA	Geographic Overlap	Comments
11-Jun-25	Ricardo PLC	WSP Global, Inc.	670.0	10.4x	N/A	N/A	**Ricardo:** EU, AUS, NA, Asia, and ME **WSP:** Canada, US, UK, AUS, ME	Adds 2,700 employees in 20 countries focusing on transportation, energy, and environment.
18-Feb-25	David Evans	AtkinsRéalis	600.0	14.3x	N/A	N/A	**David Evans:** US **ATRL:** Canada, UK, US, AMEA	Adds 1,250 employees in 34 offices across 10 states; more than 50% of revenues come from transportation.
12-Aug-24	Power Engineers	WSP Global, Inc.	2,443.9	15.2x	35	22%	**Power:** US, Canada **WSP:** Americas	Makes WSP a global leader in Power/Energy sector. Deal multiple is 12.5x post-synergies on 2024E.
03-Jun-24	Englobe	Colliers International	£532.2	11.6x	N/A	N/A	**Englobe:** Canada CIGI Eng: US & AU	11.6x LTM Post-IFRS EBITDA ($USD) and 13.5% Margin
05-Oct-22	DPS Group	Arcadis	295.0	8.1x	8	22%	**DPS:** Europe, US **Arcadis:** EMEA, Americas, APAC	Expands Life Sciences and Semiconductor manufacturing capabilities. Deal multiple drops to 6.7x post-synergies on 2022E.
24-Sep-22	RPS Group plc	Tetra Tech Inc.	£671.3	16.0x	£21	44%	**RPS:** UK, AUS, Norway **WSP:** Canada, America, EMEA, APAC	16.0x LTM Pre-IFRS EBITDA (£GBP) and 14.2x NTM Strengthening UK/AUS footprint and environmental capabilities
16-Aug-22	Hill International Inc	Global Infrastructure Solutions Inc. (GISI)	210.7	9.0x	N/A	N/A	**Hill:** US, EMEA **GISI:** Worldwide	USD transaction at 9.0x NTM EBITDA or 13.0x LTM EBITDA
20-Jul-22	IBI Group	Arcadis	873.0	13.0x	15	23%	**IBI:** Canada, US, UK **Arcadis:** Continental Europe, UK, US	Combining geographic and digital capabilities
01-Jun-22	Wood Group Consulting	WSP Global, Inc.	2,040.0	14.6x	38	27%	**Wood:** US, Canada, UK **WSP:** Canada, America, EMEA, APAC	Materially strengthening Environmental capabilities
21-Oct-21	Cardno	Stantec Inc.	620.0	11.6x	10	23%	**Cardno:** Australia and US **STN:** US, Canada, UK	Doubling AUS footprint and solidifying US platform
03-Dec-20	Golder Associates	WSP Global, Inc.	1,500.0	10.4x	35	24%	**Golder:** US, APAC, EMEIA **WSP:** Canada, Europe, UK, US, Aus., APAC, RoW	Doubled WSP's environmental footprint to $2 bn (making WSP the largest environmental consulting services co); exposure to oil well abatement, dam integrity and water quality, etc.
30-Nov-20	PA Consulting (65%)	Jacobs Engineering Group, Inc.	2,400.0	13.6x	N/A	N/A	**PA:** UK, US, Netherlands, Norway, Sweden, Denmark **JEC:** US, Europe, Canada, APAC, ME	Opportunities in 5G, robotics, autonomous tech, etc.; expands Jacobs' TAM by $100 bn by 2025; 20+% EBITDA margin for PA
20-Aug-19	Wood Nuclear	Jacobs Engineering Group, Inc.	300.0	11.5x	12	46%	**Wood Nuclear:** UK **JEC:** US, Europe, Canada, APAC, ME	2,000 employees business; providing solutions in program management, technical and consulting services in nuclear decommissioning, new build and operational support
23-Apr-19	KeyW	Jacobs Engineering Group, Inc.	815.0	10.0x	15	18%	**KeyW:** US **JEC:** US, Europe, Canada, APAC, ME	Cybersecurity focus for critical government priorities; 50% increase to Jacob's high level security clearances; 25% EBITDA CAGR
23-Oct-18	Jacobs ECR division	WorleyParsons	3,300.0	11.5x	90	31%	**WOR:** APAC, Americas, EMEA **JEC:** US, Europe, Canada, APAC, ME	Factoring in cost synergies, transaction multiple drops to 8.5x. WOR expects synergies to be realized within 2 years
30-Jul-18	Louis Berger	WSP Global, Inc.	400.0	8.9x	15	33%	**LB:** US, Europe, India, LATAM, Middle East **WSP:** Canada, Europe, UK, US, Aus., APAC, RoW	5,000 employees; active in Transportation & Infra and Environmental and Water; increased WSP's exposure to the U.S. Federal sector
14-Aug-17	Opus International	WSP Global, Inc.	281.0	8.9x	N/A	N/A	**OI:** New Zealand (60%), NA, UK, AUS **WSP:** Canada, Europe, UK, US, Aus., APAC, RoW	3000 Employees; active in tansportation and water; 61% levered to public expenditure
02-Aug-17	CH2M Hill	Jacobs Engineering Group, Inc.	3,270.0	10.1x	150	46%	**CH2M:** US, Canada, UK, Europe, ME, Asia **JEC:** US, Europe, Canada, APAC, ME	Cost savings of $150mln generated through real estate, optimization of corporate operations, complimentary organizational structures, procurement and IT systems
20-Apr-17	WS Atkins	SNC-Lavalin	3,600.0	11.5x	120	34%	**SNC:** Americas, ME, APAC, Europe **ATK:** UK, Europe, NA, ME, APAC	Cost savings are split $90mln / $30mln between Atkins and SNC; mostly driven by the former's corporate and listing costs, as well as SG&A and operational synergies at both companies
13-Mar-17	Amec Foster Wheeler	John Wood Group	3,279.0	10.1x	150	35%	**Wood:** US, Americas, Europe, ME, Africa, APAC, UK **AFW:** US, Americas, Europe , APAC, ME, Emerging	50% generated from economies of scale, procurement spending efficiencies, reducing duplicate costs. 50% from corporate and administrative efficiencies
Median (since 2014)			**775.0**	**9.5x**	**25.0**	**30%**		
Median (since 2017)			**815.0**	**11.5x**	**21.0**	**31%**		

Source: NBCM, Company reports

** Synergies estimated by NBCM*

Change in estimates – adjusting for TRC accretion

We assume the transaction closes at the end of Q1/26 and have updated our forecasts to incorporate TRC into our 2026E/2027E estimates. On this basis, the combined entity would reach $17.3 bln in pro forma net revenue, assuming +4% organic growth in both 2026E and 2027E - though the 2027E assumption may prove conservative given that Power and TRC together will represent more than 20% of the business and are growing double digits organically. TRC adds approximately 8,000 employees, increasing WSP's headcount by ~11%. Based on the calculations shown in Figure 9, we assume low single-digit accretion in 2026E, reflecting 50% realization of targeted cost synergies following closing.

Figure 11: WSP - change in estimates

							Y/Y Revenue Growth	
							14.8%	*8.4%*
($ 000's, except EPS figures)	Q4/25E	2025E	Q1/26E	Q2/26E	Q3/26E	Q4/26E	2026E	2027E
Net Revenue	**$3,631,836**	**$13,918,236**	**$3,541,226**	**$4,091,256**	**$4,206,384**	**$4,139,616**	**$15,978,482**	**$17,325,758**
Prior Net Revenue	$3,631,836	$13,918,236	$3,541,226	$3,704,376	$3,813,264	$3,752,736	$14,811,602	$15,669,108
Adjusted EBITDA	**$686,235**	**$2,553,335**	**$568,888**	**$752,296**	**$879,444**	**$817,138**	**$3,017,766**	**$3,397,906**
Prior Adjusted EBITDA	$686,235	$2,553,335	$535,093	$686,849	$822,654	$725,250	$2,769,846	$2,996,582
Adjusted EBITDA Margin	**18.9%**	**18.3%**	**16.1%**	**18.4%**	**20.9%**	**19.7%**	**18.9%**	**19.6%**
Prior Adjusted EBITDA Margin	18.9%	18.3%	15.1%	18.5%	21.6%	19.3%	18.7%	19.1%
Adjusted Diluted EPS	**$2.68**	**$9.61**	**$1.92**	**$2.65**	**$3.39**	**$2.99**	**$10.94**	**$12.65**
Prior Adjusted Diluted EPS	$2.68	$9.61	$1.73	$2.69	$3.39	$2.90	$10.71	$12.00
Legacy Adjusted EBITDA (ex. IFRS 16)	**$587,335**	**$2,168,535**	**$475,088**	**$637,796**	**$750,644**	**$695,238**	**$2,558,766**	**$3,067,906**
Legacy Prior Adjusted EBITDA	$587,335	$2,168,535	$435,293	$587,349	$713,854	$623,350	$2,359,846	$2,574,582
Legacy Adjusted EBITDA Margin	**16.2%**	**15.6%**	**13.4%**	**15.6%**	**17.8%**	**16.8%**	**16.0%**	**17.7%**
Prior Legacy Adjusted EBITDA Margin	16.2%	15.6%	12.3%	15.9%	18.7%	16.6%	15.9%	16.4%

Source: NBCM, Company reports

Comps

Table 1: E&C Comps

Canadian Comps			Trading	Local	Target	Dividend		Total	% Off 52-	Market	EPS		P/E		EBITDA ($ mln)		EV/EBITDA	
	Ticker	Rating	Currency	Price	Price	Annual	Yield	Return	wk High	Cap ($ mln)	2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E
WSP Global Inc	WSP.TO	OP	CAD	$245.16	$304.00	$1.50	0.6%	25%	-16%	$33,027	$9.61	$10.94	25.5x	22.4x	$2,169	$2,559	18.5x	15.7x
Stantec Inc	STN.TO	OP	CAD	$130.13	$161.00	$0.90	0.7%	24%	-19%	$14,844	$5.34	$6.02	24.3x	21.6x	$984	$1,103	16.8x	14.9x
Atkinsrealis Group Inc	ATRL.TO	OP	CAD	$87.63	$110.00	$0.08	0.1%	26%	-18%	$14,524	$3.50	$4.10	25.4x	20.9x	$951	$1,068	15.1x	13.2x
Aecon Group Inc	ARE.TO	OP	CAD	$31.40	$35.00	$0.76	2.4%	14%	-11%	$1,987	$0.25	$1.77	93.2x	15.9x	$162	$293	16.0x	8.5x
Bird Construction Inc	BDT.TO	OP	CAD	$29.13	$34.00	$0.84	2.9%	20%	-8%	$1,613	$2.00	$2.62	14.6x	11.1x	$183	$236	10.1x	7.9x
North American Construction Group Ltc	NOA.TO	OP	CAD	$18.12	$28.00	$0.48	2.6%	57%	-43%	$585	$1.95	$2.90	9.3x	6.2x	$379	$399	3.5x	3.4x
Median							**2.5%**	**23%**	**-14%**				**20.0x**	**13.5x**			**12.6x**	**8.2x**
U.S. Comps																		
Jacobs Solutions Inc	J	NR	USD	$134.07	NA	$1.25	0.9%	NA	-20%	$15,921	$6.07	$7.09	22.1x	18.9x	$1,203	$1,367	14.9x	13.1x
AECOM	ACM	OP	USD	$96.72	$145.00	$1.24	1.3%	52%	-29%	$12,902	$5.26	$5.33	18.4x	18.2x	$1,203	$1,207	11.0x	10.9x
Tetra Tech Inc	TTEK.O	OP	USD	$34.45	$43.00	$0.26	0.8%	24%	-20%	$9,103	$1.56	$1.51	22.1x	22.8x	$662	$630	14.7x	15.4x
Fluor Corp	FLR	NR	USD	$40.91	NA	$0.00	0.0%	NA	-29%	$6,594	$2.19	$2.36	18.7x	17.3x	$523	$535	9.3x	9.1x
KBR Inc	KBR	NR	USD	$40.30	NA	$0.60	1.5%	NA	-34%	$5,118	$3.85	$4.13	10.5x	9.8x	$969	$996	7.4x	7.2x
Tutor Perini Corp	TPC	NR	USD	$69.99	NA	$0.00	0.0%	NA	-9%	$3,691	$1.63	$3.35	42.9x	20.9x	$314	$484	11.1x	7.2x
Median							**0.8%**		**-25%**				**20.4x**	**18.5x**			**11.0x**	**10.0x**
International Comps																		
Sweco AB (publ)	SWECb.ST	NR	SEK	$150.30	NA	$3.30	2.2%	NA	-24%	$54,597	$6.65	$7.41	22.6x	20.3x	$4,102	$4,524	14.9x	13.5x
Arcadis NV	ARDS.AS	NR	EUR	$35.28	NA	$0.85	2.4%	NA	-41%	$3,191	$2.99	$3.53	11.8x	10.0x	$536	$600	7.9x	7.1x
Worley Ltd	WOR.AX	NR	AUD	$12.57	NA	$0.50	4.0%	NA	-20%	$6,401	$0.84	$0.91	14.9x	13.8x	$1,009	$1,052	7.8x	7.5x
Acciona SA	ANA.MC	NR	EUR	$186.50	NA	$5.28	2.8%	NA	-8%	$10,231	$14.53	$8.70	12.8x	21.4x	$2,838	$2,615	6.9x	7.5x
Saipem SpA	SPMI.MI	NR	EUR	$2.38	NA	$0.17	7.2%	NA	-15%	$4,744	$0.17	$0.24	14.3x	10.0x	$1,674	$1,846	3.0x	2.7x
Sacyr SA	SCYR.MC	NR	EUR	$3.81	NA	$0.00	0.0%	NA	-5%	$3,036	$0.16	$0.22	23.7x	17.1x	$1,390	$1,396	7.8x	7.8x
Balfour Beatty PLC	BALF.L	NR	GBP	$7.21	NA	$0.12	1.6%	NA	-2%	$3,553	$0.43	$0.49	16.7x	14.7x	$385	$395	7.5x	7.3x
Tecnicas Reunidas SA	TRE.MC	NR	EUR	$27.54	NA	$0.00	0.0%	NA	-15%	$2,211	$1.93	$2.55	14.3x	10.8x	$309	$363	6.4x	5.4x
Median							**2.3%**		**-15%**				**14.6x**	**14.3x**			**7.6x**	**7.4x**

Source: NBCM, Company reports, LSEG

** Note that AtkinsRéalis and Aecon estimates are comped ex-concessions and Bermuda, respectively.*

*** Canadian EBITDA estimates and multiples are based on ex-IFRS 16 (subtract lease payments) for an apples-to-apples comparison with US peers.*

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